



Biomass Briquettes Pellets Business



Highly Demandable Business Opportunity in India

1,00,000 Lakh Ton Per Day Demand

- 100 % Tax Free Business
- Thrust Sector Business
- Waste to Energy Projects

With

- Biomass Vendor List
- Power Plant List

KIP : BUSINESS SUBSIDY CONSULTANT SINCE 2008



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- (i) Biomass Vendor List
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Brief of E-Book

Welcome to the comprehensive guide on Biomass Briquettes and Pellets Business. This eBook aims to provide detailed information to the reader for the Biomass Briquettes and Pellets Business and subsidy schemes available thereon.

Whether you're setting up a new unit of Biomass Briquettes and Pellets Business or seeking financial assistance to expand your existing unit, this guide will help you navigate through the subsidy options available. We have tried to cover up a detailed insight for Biomass Briquettes and Pellets Business, so that readers can developed their understanding on Biomass Briquettes/Pellets Business along with right subsidy planning.

We at KIP Financial Consultancy Pvt. Ltd, working as Business Subsidy Consultant Since 2008 onward and rendering Advisory and Investment consultancy for Bio Energy Projects, MSME Units, Warehouse Business and Agri Based Project.

Further, we have tried to share information related to Financial Assistance and Subsidy Benefits provided by Centre Govt. through MNRE (Ministry of New and Renewal Energy) for the business of Biomass Briquettes and Pellets.

We hope such information shall be helpful to the reader or Investor to take right investment decision. So that they can maximize their subsidy benefits and reduce their cost of business.



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BUSINESS SUBSIDY CONSULTANT

We at KIP
Are working as Business Subsidy Consultant
Since 2008.

We work with
MSME Units, Warehousing & Logistics and
Agri Infra Projects.

We help them
In taking Right Investment Decision with
appropriate Business Modeling.

So that
Our Clients can avail Maximum Subsidy
Benefits/ Other eligible Financial Incentives and
Reduce their Cost & Maximize Profit.



BIOMASS BRIQUETTES AND PELLETS

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About Biomass Business

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Dear Businessman,

This is a business that is highly in demand and is also 100% tax-free, with many government incentives available. It's a unique business that is currently in very high demand across India. This business involves Biomass Briquettes and Pellets production, which is a thrust sector supported by both the Government of India and various state governments. It's an energy sector project that contributes significantly to India's economic growth, particularly in agriculture residue management.

Biomass Briquettes and Pellets Business;

- 1. Is a Major Source of Green Energy.**
- 2. A Waste to Energy Project.**
- 3. It is used as a Substitute of Coal.**
- 4. Use as Bio-Fuel: Co-fired with Coal for Electricity Generation in Thermal Power Plants.**

In this e-book, we'll share detailed information on how to start this business, its investment requirements, basic criteria, and how you can avail subsidies.

Firstly, if you are connected to an agriculture belt or are involved in agricultural industries, you may already be familiar with the concept of agricultural residues left after harvesting crops such as mustard, paddy straw, and various types of forest residues. These residues are abundantly available around us and can be effectively converted into Biomass Briquettes and Pellets, which reduce agricultural waste and serving as an eco-friendly alternative.

These compressed Biomass Briquettes and Pellets serve as excellent substitutes for coal in both industrial and domestic applications, significantly reducing pollution compared to coal and meeting high demand.

Why the Biomass Briquettes and Pellets Substitutes Coal:

When comparing coal with biomass briquettes and pellets, several factors such as calorific value, ash content, moisture, cost, handling, pollution, burning duration, and wastage/loss etc. plays vital role in comparative analysis.

Below is a detailed comparison:



Sr. No	Factors	Coal	Briquettes/Pellets
1	Calorific Value	5000-6000 KCAL/kg.	3400-4000 KCAL/kg.
2	Ash Content	15% to 30%	6% to 10%
3	Moisture Content	10% to 15%	6% to 14%
4	Cost	Expensive	Less Expensive
5	Handling & Storage	Require Specific Facilities	Easy Handling
6	Pollution	High	Low Pollution
7	Burning Power	High Density	Comparative Low
8	Wastage/Loss	15% to 20%	8% to 10%

Conclusion:

Biomass briquettes and pellets are a viable alternative to coal, offering environmental benefits, cost savings, and easier handling. While coal still has a higher calorific value and longer burning duration, the lower ash content, lower pollution, and overall cost-effectiveness of biomass make it an attractive option for both industrial and domestic use.





BIOMASS BRIQUETTES & PELLETS BUSINESS OPPORTUNITY



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BIOMASS BRIQUETTES AND PELLETS

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Demand Prospective (Compulsory Utilization)

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In India, there is a substantial gap between demand (Approximately 95,000 tons per day) and current production capacity (8,000 to 10,000 tons per day), creating vast business opportunities to meet this demand. Furthermore, government mandates now require thermal power plants to utilize at least 5% biomass brackets or Pellets, further boosting demand.

Aside from thermal power plants, industries such as paper-based companies and other coal-consuming industries are increasingly turning to Biomass Briquettes and Pellets due to their environmental advantages and cost-effectiveness compared to coal.

Sr. No	Industry	Industry List
1	Textile Mills	
2	Brick Kiln	
3	Food Industry	
4	Leather Industry	
5	Dyeing House	
6	Chemical Plants	
7	Food Processing Units	
8	Rubber Industry	
9	Pharmaceuticals Industry	
10	Paper Mills	
11	Thermal Power Plant	

Commercial and even domestic usage of Biomass Briquettes and Pellets is also gaining traction, particularly in sectors like hotels and facilities using heat equipment, where reducing emissions and enhancing energy efficiency are paramount.

While there is a strong demand for these products, challenges such as seasonal availability of raw materials and market fluctuations need to be managed carefully. However, with careful consideration of these factors and the favorable government incentives and subsidies available, entering this business can be highly lucrative and environmentally beneficial.

Compulsory Utilization:

Ministry of Environment, Forest and Climate Changes of Govt. of India has mandated the uses of biomass briquettes and pellets vide notification dated 11th July 2023 as:

All coal based thermal power plants of power generation utilities shall mandatorily use minimum five percent (5%) blend of pellets or briquettes made of crop residue along with coal.

It's creating the huge demand of above said business throughout India. There are approx. 208+ Thermal Power Plants are operating in India. Right now, 60+ Power Plant has already started the co-firing of pellets with coal.

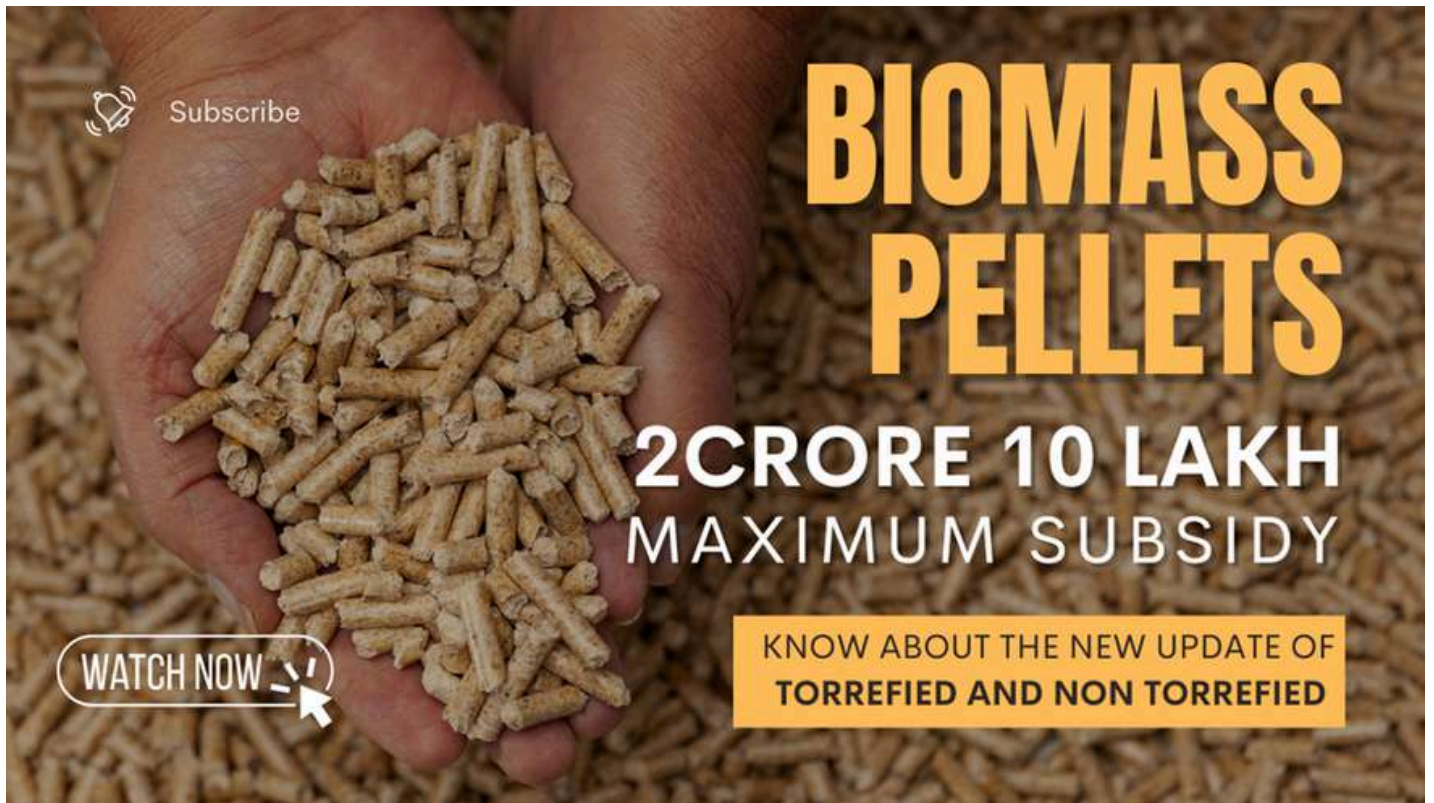
NTPC, Adani Power, NPL – L&T, TSPL Vedanta Punjab, NABHA Power Plant, UP-RVUNL has invited the tender for supply of biomass pellets throughout the India.

Being an Existing Manufacturer or Future Manufacturer or Trader, you can participate in such tender subject to fulfilment of terms and conditions as prescribed thereon.

Note: Reader may visit our website for accessing the nearest power plant.

👉 <https://kipfinancial.com/biomass-briquettes-pellets-business-opportunity/>

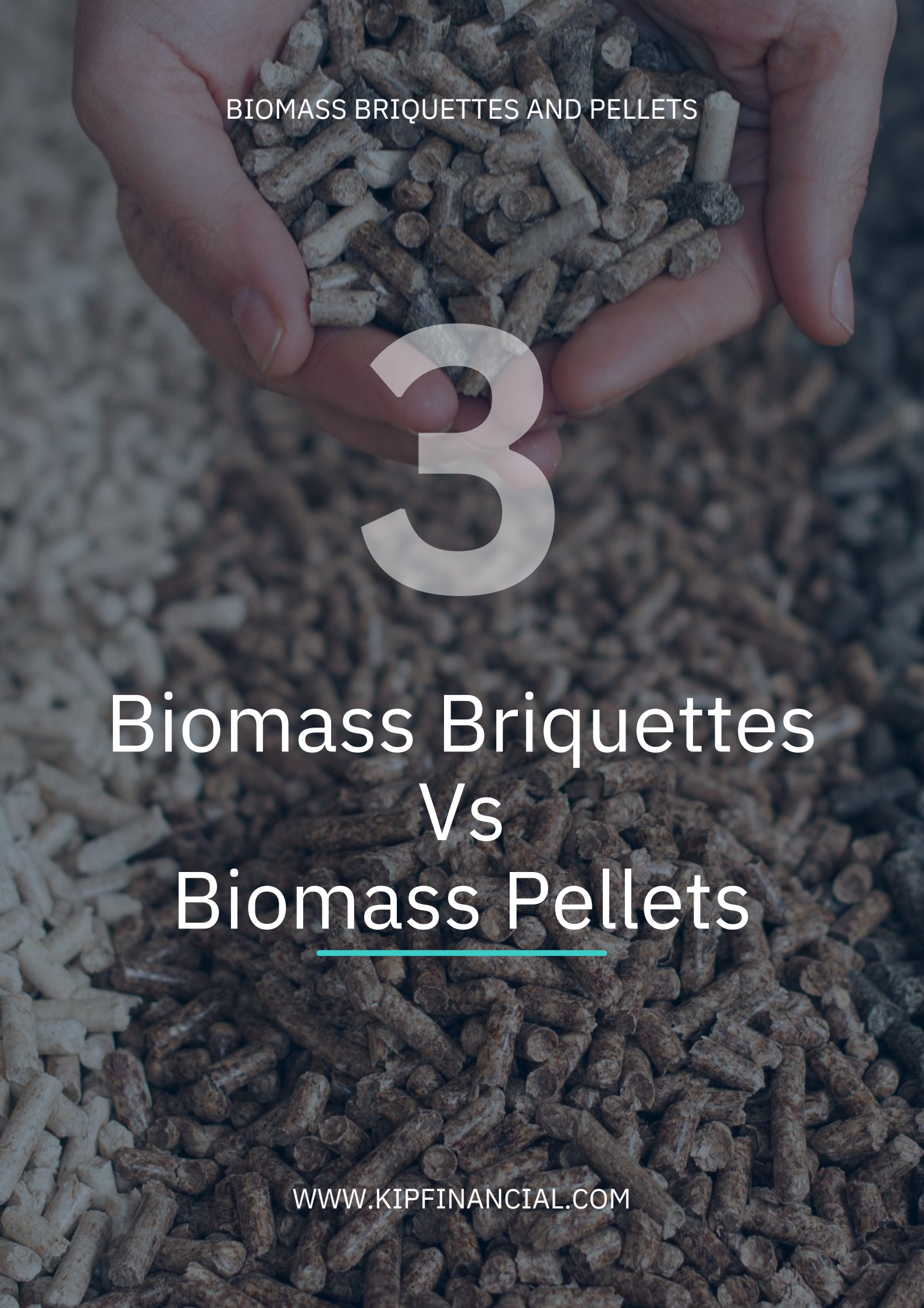




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BIOMASS BRIQUETTES AND PELLETS

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Biomass Briquettes Vs Biomass Pellets

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Biomass briquettes and pellets are two popular forms of biomass used as renewable energy sources. Both have gained significant traction as alternatives to fossil fuels, particularly in industrial and domestic heating applications.

Biomass Briquettes:

Biomass briquettes are compressed blocks made from organic materials such as sawdust, agricultural residues, wood chips, and other biomass waste. They are typically cylindrical or rectangular in shape and are used as fuel in stoves, boilers, and other heating systems.

Biomass Pellets:

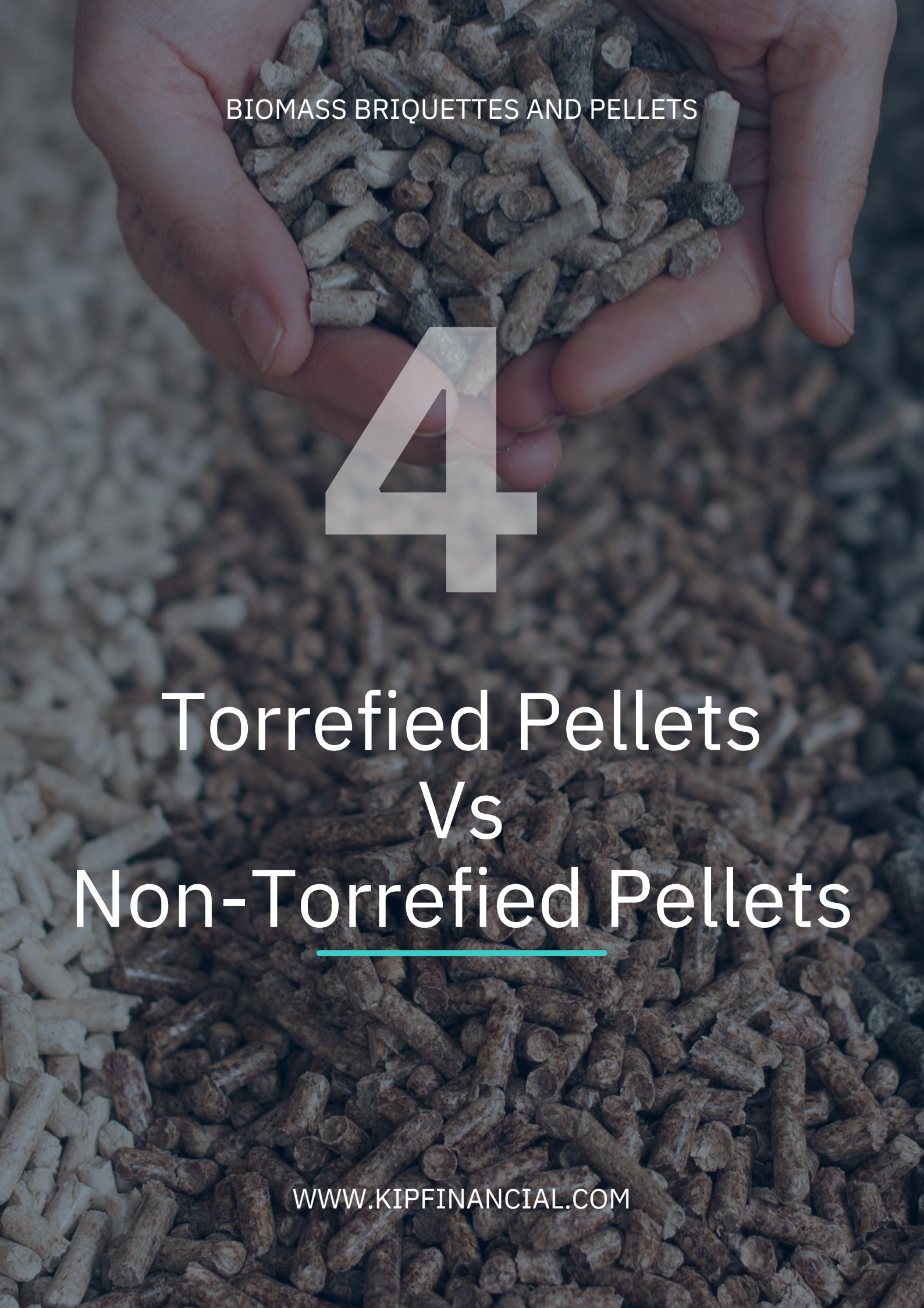
Biomass pellets are small, cylindrical pellets made from compressed biomass materials, including wood chips, sawdust, and agricultural residues. They are commonly used for heating and as a fuel for electricity generation.

Comaprison Between Biomass Briquettes And Biomass Pellets :



Sr. No	Feature	Biomass Briquettes	Biomass Pellets
1	Size and Shape	Larger, Blocked-Shaped	Smaller, Cylindrical
2	Production Cost	Generally Lower	Slightly higher
3	Energy density	High	Higher
4	Combustion Efficiency	Efficient, but slower burning	Very efficient, burns faster
5	Storage	Requires more space	Compact and easy to store
6	Applications	Industrial and Domestic Heating	Mainly residential and Industrial heating

Conclusion: Both biomass briquettes and pellets offer sustainable and efficient alternatives to fossil fuels. The choice between the two largely depends on the specific application and the availability of raw materials. For large-scale industrial applications, briquettes might be more suitable. On the other hand, pellets are ideal for Thermal Power Plant due to their consistent quality and ease of handling.



BIOMASS BRIQUETTES AND PELLETS

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Torrefied Pellets Vs Non-Torrefied Pellets

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Due to high demand of Biomass Pellets in Thermal Power sector, investors are more interested for Pellets manufacturing. Pellets may be Torrefied or Non-Torrefied. For better understanding of both type of Pellets, we are sharing some key aspects thereof as:

A. Differentiation between Non-torrefied and Torrefied Pellets:

You can see that the government has provided different subsidy benefits for non-torrefied and torrefied pellets. There is a significant logic behind this differentiation, as it is based on technology.

Torrefied pellets use advanced technology compared to non-torrefied pellets.

The production of torrefied pellets involves very high temperatures, typically ranging from 300 to 350 degrees Celsius. During this process, Agre residues are compressed into a very solid and high-density form of biomass pellets.

The torrefaction process results in pellets with high energy density. This is because, during the process, which occurs at temperatures between 300 and 350 degrees Celsius, the moisture content inside the pellets is almost eliminated due to compression. In contrast, non-torrefied pellets typically retain a moisture content of approximately 10% to 14%.

The high combustibility power is created in these torrefied pellets.

The absence of moisture in torrefied pellets, essentially making the moisture content almost zero, reduces the potential for biodegradation. This means that the biological changes at the micro level are minimized. As a result, the impact on storage and transportation is significantly reduced, leading to longer durability. The reduced moisture content means that losses during storage, transportation, and handling are minimized, making the pellets highly efficient.





The high compactness of torrefied pellets means that storage and transportation losses are significantly reduced. Their low moisture content minimizes the potential for biodegradation, extending their usability over a longer period.

In contrast, non-torrefied pellets, with their higher moisture content, have a greater chance of biodegradation and are more susceptible to temperature and water impact.

In the storage and transportation of torrefied pellets, the loss is minimal, and their caloric values remain high. This is a basic difference between torrefied and non-torrefied pellets. Torrefied pellets generate high power, but the cost of plant and technology is higher compared to non-torrefied pellets. The equipment required for high-temperature and high-compression processes in torrefaction increases the overall plant cost. That's why the Ministry of Renewable Energy has provided higher subsidies for torrefied pellets to offset these additional costs.

Compared to non-torrefied pellets, torrefied pellets receive a higher subsidy. For non-torrefied pellets, you receive ₹21 lakh, while for torrefied pellets, the subsidy is ₹42 lakh per ton of production capacity.

Currently, power plants in our country are inviting tenders for non-torrefied pellets because they utilize Agre residues more effectively. That's why the demand is higher for non-torrefied pellets.

However, the demand for torrefied pellets is gradually increasing as technology advances. The commercial viability of torrefied pellets is very high due to their industrial uses, including cooking, heating, and power generation projects.

High temperatures create a stress environment for torrefied pellets, making their impact almost negligible. This is due to the advanced technology used in torrefaction, which operates at high temperatures to generate high caloric values and reduce moisture content. As a result, torrefied pellets have increased commercial viability. These are more effective in power generation, heating, cooking processes, and other industrial activities, and can even be used for co-firing in power plants.

B. Agriculture Residue:

Which types of Residues, A Biomass Unit can utilize. It is a major part of doing this business. All Govt. Tenders are invited only for Agri-residue based Biomass Pellets. So, it become the more important to know the basis understanding of Agriculture Residue in context of tender filling and grabbing the business opportunities.

Residue which is the main sources of raw material for manufacturing of Biomass Briquettes and Pellets.

Residue may be as:

- Agriculture Residue
- Horticulture Residue
- Forest Residue

For the better understanding, we are sharing herewith the items which may be used for production of Biomass Briquettes and Pellets as per the availability.

Base material for Briquettes and Pellets manufacturing may be;

1. Agre residue, which means the leftover portion of the agriculture produce, such as stubble/straw/stalk/husk of those Agre residues which are surplus and not being used as animal fodder, such as paddy, soya, arhar, gwar, cotton, gram, jawar, bajara, moong, mustard, seasam, til, maize, sunflower, jute, coffee etc., groundnut shell, coconut shell, castor seed shell etc., pine needle, elephant grass, sarkanda, bamboo and its by product (e.g. Bamboo chips, Cuttings, Bamboo Dust etc.) and horticulture waste such as dry leaves and trimmings generated during the maintenance and pruning of trees and plants.
2. Agre residue-based biomass pellets can be manufactured by single base material or mixing multiple base materials together.
3. Mixing materials such as by product of wood work factory such as wood chips, saw dust, furniture waste etc., bagasse, press mud, molasses or natural additives/binder such as lignin, starch, and animal dung may also be used with Agre residue in limited proportion to enhance material properties and same shall be explicitly mentioned by supplier in consignment details.





C. Technical Specification of Pellets:

Most commonly Non-Torrefied Pellets are demanding in huge quantity in Tender. So, we need to ensure other aspects of Pellet's manufacturing i.e Technical Specification. Only those Pellets are acceptable which met out the specification norms related to Base Material, Shape and Size, Fineness, Moistures Contents etc.

For the kind reference of readers, we are sharing herewith the standard Technical Specification, which are demanding in Govt. Tender of Power Plants.

Sr. No	Technical Data	Unit	Non-Torrefied Biomass pellets specification
1	Base material	-	Agri residue
2	Shape and Size	Mm	Cylindrical shape: Diameter: Not more than 25 mm, Length: should not exceed 35 mm.
3	Fines% (length<3 mm)	Wt %	Fines $\leq$ 5% [Less than 5% by weight]
4	Gross Calorific Value (GCV)	kcal/kg	Acceptable range 2800 Kcal/Kg to 4000 kcal/Kg [both inclusive]
5	Moisture	Wt %	Not more than 14%

Note:

Biomass dust, crushed/ broken/ damaged pellets of length less than 3 mm, shall be treated as fines.



BIOMASS BRIQUETTES AND PELLETS

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Subsidy Benefits

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In this part of e-book, we are going to discuss the subsidies or fiscal incentives as available on the business of Biomass Briquettes and Pellets. Govt. has nominated this sector as Thrust Sector and line up the various incentives.

We can analysis this benefits in two major classifications as:

- A. Central Govt. Incentives**
- B. State Level Incentives**

Let's start from Central Govt. Incentives as:

1.Tax Free Business:

Are you searching for a business that required Low Investment, High Demandable, Tax Free and Eligible for Subsidies then Business of Biomass Briquettes and Pellets will fulfillment your search.

In today's world, where sustainability and environmental conservation are paramount, the government of India has introduced several incentives to promote eco-friendly business practices. One such significant provision is Section 80JJA of the Income Tax Act, 1961.

This section offers a valuable tax deduction for businesses engaged in specific activities related to waste management and renewable energy.

What is Section 80JJA?

Section 80JJA of the Income Tax Act, 1961, provides a tax deduction of 100% on profits and gains derived from businesses that focus on environmentally beneficial activities. This deduction is specifically aimed at encouraging enterprises that deal with biodegradable waste and produce eco-friendly products.



BENEFITS

B E N E F I T S

Here's a closer look at the qualifying business activities:

(I) Collecting and Processing of Bio-degradable Waste for Power Generation:

Businesses involved in collecting and processing biodegradable waste to generate power can avail themselves of this deduction. This not only helps in waste management but also promotes the generation of renewable energy, reducing reliance on fossil fuels.

(ii) Producing Bio-fertilizers and Bio-pesticides:

The production of bio-fertilizers and bio-pesticides is another qualifying activity. These products are essential for sustainable agriculture as they minimize the use of chemical fertilizers and pesticides, promoting healthier soil and crops.

(iii) Generating Bio-gas or Compressed Bio Gas (CBG):

Bio-gas and CBG are produced from organic waste and serve as clean energy sources. Businesses engaged in generating these gases can benefit from the tax deduction, fostering the use of alternative fuels that have lower environmental impacts.

(iv) Making Pellets or Briquettes for Fuel:

The creation of pellets or briquettes from agricultural or biodegradable waste is included under this section. These products serve as an eco-friendly alternative to conventional fuels, helping reduce deforestation and carbon emissions.

(v) Producing Organic Manure:

Organic manure production from biodegradable waste contributes to sustainable farming practices. By enhancing soil fertility without harmful chemicals, it supports long-term agricultural productivity and environmental health.

Duration of the Deduction:

The tax deduction under Section 80JJA is allowed for a period of Five (5) consecutive assessment years. This period begins with the assessment year relevant to the previous year in which the business commences its qualifying activities.

For example, if a business starts its operations in the financial year 2023-24, the deduction period will begin from the assessment year 2024-25 and continue until the assessment year 2028-29.

This means you won't have to pay any income tax on the profits generated during these initial five years.



2. CFA of MNRE:

A very good scheme launched by the Government of India's Ministry of New and Renewable Energy for the business of Biomass.

The parameters of this scheme, launched under the biomass program by the MNRE, are such that you can benefit from your biomass business. How this scheme will be implemented, its basic norms, and how you can benefit from it — all these aspects related to the scheme are shared herewith as:

Firstly, as mentioned earlier, this scheme has been implemented by the Government of India's Ministry of New and Renewable Energy. The biomass program under this scheme has been named, which will be implemented until March 31, 2026, in the first phase of the program.

The total budget allocated for this program has been determined to be Rs. 128 crores. The Ministry of New and Renewable Energy, along with the Ministry of Power, has promoted the production of biomass pellets and briquettes. The overall objective of the Government of India is to promote projects related to waste-to-energy management.

If you are setting up a new business or expansion in existing unit, you can take benefit from this scheme. Whether your business model is individual, partnership, LLP, private limited company, or public limited company, you can operate it for this scheme. It is eligible.



Subsidies

SUBSIDY

(i) CFA Available:

Sr. No	Type of Project	Rate of CFA under Biomass Programme of NBP (For all States and UTs)
1	Briquette Manufacturing Plant	Rs 9.0 lakhs/MTPH (Maximum Rs. 45 lakhs/Projects)
2	Non - Torrefied Pellets Manufacturing Plant	Rs 21.0 lakhs/MTPH production capacity or 30% of the capital cost considered for plant and machinery of 1 MTPH plant, whichever is lower (Maximum Rs. 105 lakhs/Projects)
3	Torrefied Pellets Manufacturing Plant	Rs 42.0 lakhs/MTPH production capacity or 30% of the capital cost considered for plant and machinery of 1 MTPH plant, whichever is lower (Maximum Rs. 210 lakhs/Projects)

The Central Financial Assistance (CFA) or subsidy components provided to biomass briquettes and pellets manufacturers have recently undergone some revisions.

On July 16, 2024, the Ministry of New and Renewable Energies (MNRE) issued a new notification. According to this notification, they have made modifications to the CFA amounts, bringing good news for the biomass and energy sectors.

Previously, the subsidy provision, known as Central Financial Assistance (CFA), was ₹9 lakh per ton of production capacity, with a maximum capacity of up to 5 tons. This meant you could receive a maximum subsidy benefit of ₹45 lakh.

Now, the Ministry has made some amendments. Under the new amendment, the subsidy for biomass briquettes will remain the same: ₹9 lakh per ton of production capacity, with a maximum capacity of up to 5 tons per hour, which means a maximum benefit of ₹45 lakh for biomass briquettes.

However, for Pellets, the Ministry has introduced two specific classifications:

Non-torrefied Pellets and Torrefied Pellets.

For non-torrefied biomass Pellets, the financial assistance provided by the government has increased from ₹9 lakh to ₹21 lakh per ton of production capacity. The maximum production capacity is up to 5 tons. Therefore, if you receive ₹21 lakh per ton, then for 5 tons, the maximum subsidy amount would be ₹1 crore 5 lakh.

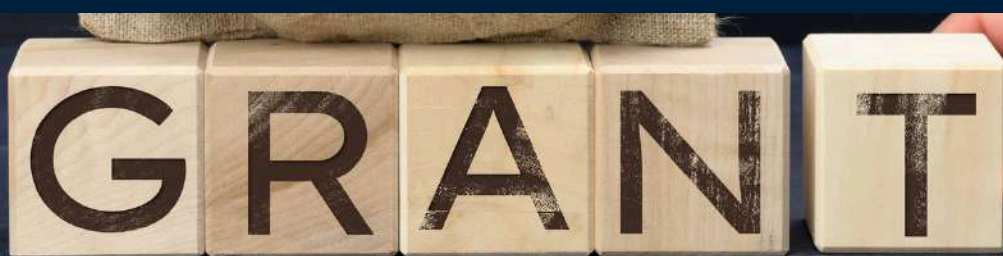
The maximum subsidy will be either ₹1 crore 5 lakh or 30% of the cost of your plant and machinery, whichever is lower. An important aspect to note is that you will receive the subsidy based on the lower of these two amounts.

Torrefied Pellets:

If you are manufacturing torrefied pellets, the subsidy amount has increased from ₹21 lakh to ₹42 lakh per ton of production capacity. This means that for a maximum capacity of 5 tons, the maximum subsidy benefit for torrefied biomass pellets is ₹2 crore 10 lakh.

The same concept applies here: you will receive the subsidy based on the lower of either 30% of the cost of your plant and machinery or the ₹42 lakh per ton production capacity.

You will receive the subsidy benefit based on these terms. The amendment has been effective from July 16, 2024. So, if you are submitting an application for CFA under the MNRE (Ministry of New and Renewable Energy) for biomass pellets, the new provisions will apply. This is great news for those involved in biomass pellet manufacturing, as you can now take advantage of these benefits.





INCENTIVE

(ii) Must be produced by Agri Residue:

Another important aspect of this scheme is that if you are manufacturing biomass pellets or briquettes, they should be Agre-residue based. The important parameters include which materials you will use. It can be any crop residue, Agre-based, forest residue left in forests, horticulture residues, bamboo residue, wooden chips, or dust from them. However, you cannot use residues from other industrial agriculture residues. If you do so, you will not be able to benefit from this scheme. So, the eligibility depends on whether your palette or briquette manufacturing is based on which item.

(iii) IPA Application:

Next, an important aspect of this scheme is how you can apply for this scheme. It is an IPA-based scheme, which means you need principal approval as soon as you start your business before the commencement of production.

You have to apply to the Ministry of Renewable Energy, which we call IPA applications, and after the approval of the IPA application, when you start commencement, then you will get the subsidy.

(iV) Applicable on Self-Funded and Funded Project:

If you are self-funding your project or taking a loan from a bank, you can take benefit from this scheme in both situations. Indirectly, it is not a Credit-linked Subsidy Scheme.

3. Interest Subsidy under Agri Infra Fund:

Apart from the Capital incentives provided by MNRE, the said business can enjoy the benefits of Agri Infra Fund implemented by the Ministry of Agriculture and Farmer Welfare of Govt. of India.

Under such Fund, being a Post Harvest Management and Bio Waste Management Units, the said business of Biomass Briquettes and Pellets will be eligible to take the advantage of Agri Infra Fund as:

(i) Interest Subsidy:

All loans under this financing facility will have interest subvention of 3% per annum up to a limit of Rs. 2 Crore. This subvention will be available for a maximum period of 7 years. In case of loans beyond Rs.2 crore, then interest subvention will be limited up to 2 crore.

(ii) Credit Guarantee (Collateral Free Funding):

Credit guarantee coverage will be available for eligible borrowers from this financing facility under Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE) scheme for a loan up to Rs. 2 Crore. The fee for this coverage will be paid by the Government.





4. PMEGP Benefit for Small Project:

If your project is relatively small and you wish to set up a project smaller than two tons, such as one ton or up to two tons, there is a very good scheme available for this purpose i.e PMEGP under which projects up to ₹50 lakh have been covered, providing a maximum benefit of up to 35%.

This means for a project of ₹50 lakh, you can receive a subsidy benefit of up to ₹17.5 lakh.

See, it's a very good option. If your project is managing within a capacity of 2 tons or ₹50 lakh, you can avail the benefits of the PMEGP scheme, where you can line up for a maximum capital subsidy of ₹17.5 lakh.

And if you want to keep your project size larger, i.e., if you want to line up for a capacity of more than two tons, then you should avail the benefits of the MNRE scheme.

5. CFA of Central Board of Pollution Control of India:

Additionally, there are provisions for the NCR region and areas like Haryana and Punjab where there is extensive utilization in crop burning by farmers, leading to pollution. For this, the Central Pollution Control Board has launched a separate scheme. However, the budget for the scheme is quite limited. The primary purpose of this scheme is to prevent pollution. Therefore, there are provisions in this scheme as 40% of the cost of plant and machinery can be subsidized, with a maximum subsidy benefit.

However, this scheme from CPCB is currently under revisions and is being synchronized with the MNRE.

Special Note: A Unit can enjoy only one Capital Subsidy provided by Central Govt through its Ministry or Department as notified.

B. State Level Incentives:

Alongside of Tax and Capital incentive, there are state-specific benefits such as:

- 1. Refunds on Stamp Duty paid on Land**
- 2. Exemptions from Electric duty**
- 3. Exemptions on Land Conversion Fee**
- 4. Refunds on State GST**
- 5. Interest Subsidy**
- 6. Incentives for employment generation etc.**
- 7. State Specific Capital Subsidy**

Apart from the above said incentives many States are providing Capital Subsidy in addition of Central CFA. In such case, you need to ensure frame subsidy planning accordingly.

These incentives make this business model highly attractive.





BIOMASS BRIQUETTES AND PELLETS

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Standard Cost of Project

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Setting up this business is straightforward with minimal investment requirements. Typically, you can start with a plant capacity of One to Five tons per hour, depending on your investment size. Approx. Machinery costs ranging from Rs. 70 to 80 lakhs for a machine capable of producing two tons per hour.

Additional costs for building and site work would add approximately 30 to 35 lakhs. Considering seasonal fluctuations, ensure adequate working capital planning.

Accordingly, it may total up to two crore rupees for the entire project, with around 50 lakhs as your own investment. Loans from banks, both as term loans and working capital loans, can also be availed for this purpose.

Raw material availability and seasonal challenges should be carefully considered, as well as the significant market demand.

Readers are advised to ensure Financial Feasibility of Project before proceed the investment decision in this Business.

Major Challenges:

Since raw material used in this business are Agre-based and primary produced in seasonal basis. So, Investor need to ensure the aggregation of raw material in order to meet out the Plant Production Capacity.



Project

INVESTMENT PATTERN FOR A STANDARD PROJECT OF 2 TPH PRODUCTION CAPACITY

Sr. No	Particulars	Approx. Amount
1	Land Required (Owned/Lease) – Half Acre to 1 Acres (May extent for Storage Purpose)	Rs. 10.00 Lacs
2	Building and other Civil Work – (550 Sq. m to 650 Sq. m)	Rs. 50 Lacs to 55.00 Lacs.
3	Plant & Machinery	Rs. 75 Lacs to 80.00 Lacs
4	Other: (Electrification/Weight Measurement/Furniture etc.)	Rs. 15 Lacs to 20.00 Lacs
5	Working Capital Need: (For 60 Days)	Rs. 60 to 70.00 Lacs
6	Total Fund Requirement (Except Land)	Rs. 1.85 Cr. to 2.00 Cr.
7	Own Fund Requirement – 25%	Rs. 50.00 Lacs
8	Bank Loan – 75%	Rs. 1.50 Cr.
9	Average Market Price	Rs. 8000/- Per Ton
10	Average Cost of Production	Rs. 5000/- to 5500 Per ton
11	Gross Margin (30% to 35%)	Rs. 2500/- to 3000/- Per Ton
12	Net Margin (12.50% to 18%)	Rs. 1000/- to 1500/- Per Ton

Note: Cost and Margin may be deviated as per the Project cost component and availability of Raw material and Market Pricing thereon.



BIOMASS BRIQUETTES AND PELLETS

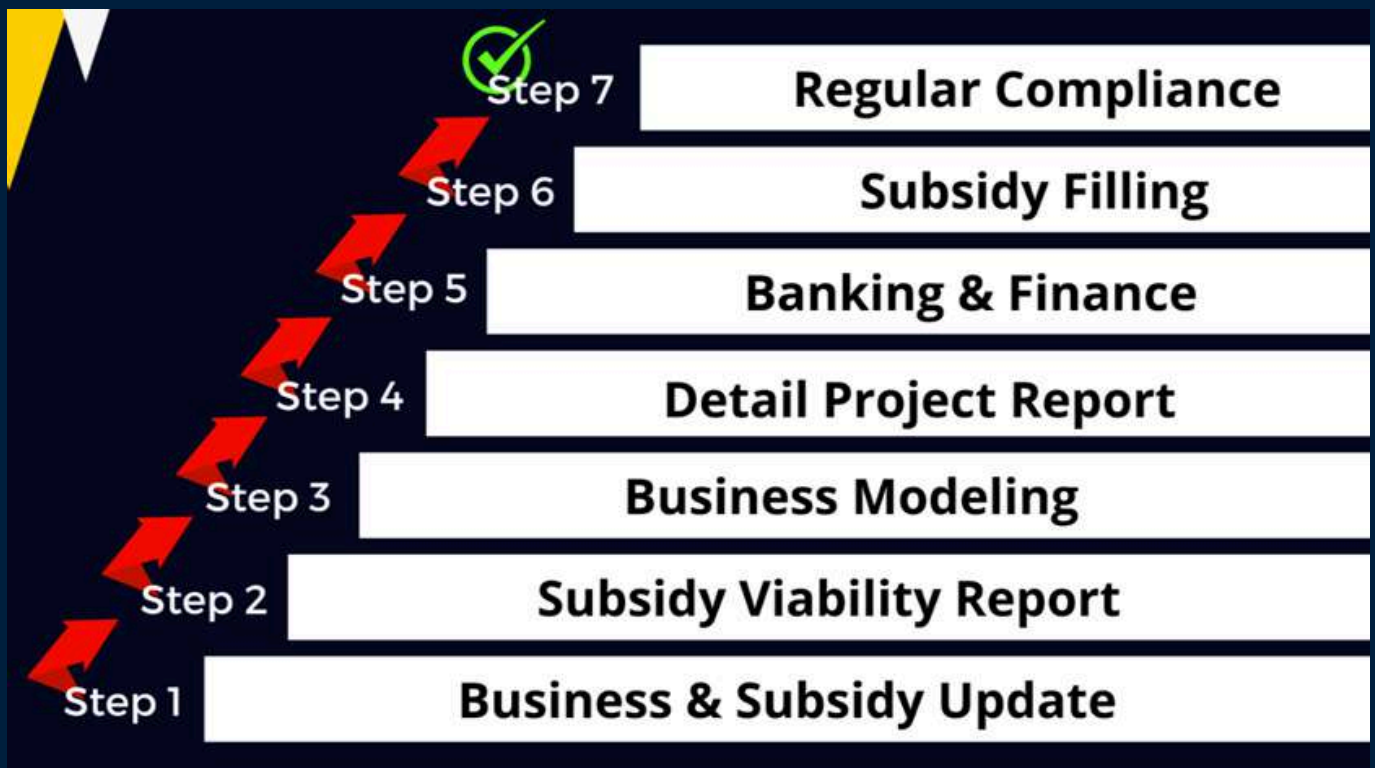
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KIP Assistance on Biomass Business

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Assistance

If you are going to plan Biomass Briquettes and Pellets project then we at KIP will assist to you. We adopt the step by step working approach so that project can be implemented in less time with maximize subsidy.



1. Business and Subsidy Update:

We are giving regular update on Business subsidy to our registered clients. You may know more about KIP: Business and Subsidy update.

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Community



Join KIP Business Community: <https://rzp.io/l/subsidyupdates>

2. Subsidy Viability Report (SVR):

Through SVR, we at KIP listing all eligible subsidy and incentives on the Project. It is highly customized as per the Project nature and location. It will assist to a businessman in making best investment planning and most suitable business modelling.

3. Business Modelling:

In order to maximize the incentives, we help the businessman in adopting most suitable business Model. Here we will also assist in taking required business registration such as MSME/HUM/IEC/GST/Startup etc.

4. Detailed Project Report:

After the SVR and Business Registration, we at KIP, frame the Complete and Detailed Project Report (DPR) considering the parameters of Bank Financing and Subsidy benefits in the project.

5. Bank Financing:

Since most of subsidy and incentives are credit linked, we assist the applicant in loan documentation and processing of loan at lower rate of interest with syncing of Subsidy Benefit.

6. Subsidy Filling and Processing:

We at KIP also provide our services on filling of Subsidy Application and processing thereof. We give support the applicant in AIF/MNRE/CPCB/PMEGP Application and taking project approval.

7. Regular Compliance:

We also ensure regular compliance of the project so that regular incentives such as Interest Subsidy, State GST Refund, Electric Duty exemption, Employment Subsidy etc. can be obtained timely.

Biomass Briquettes and Pellets Specific Add on:

Tender Filling Services:

By joining KIP Business Community, we will update to you for upcoming tender for this business. Apart from Tender Update, we will also assist in Tender Filling and documentation work thereof.

CONSULTING

Consultancy Round:



Book Consultancy Round: <https://forms.gle/qTEQQTFqyUqQutt88>

Scan QR Code
For Consultancy Round



KIP Success Dashboard

Some Major Clients:

1. Taranjot Energy Solution Private Limited
2. Quality Foils (India) Limited
3. ECO URJA VENTURES
4. Shree Shyam Bio Fuel
5. Hari Govardhan Renewal Energy Pvt. Ltd
6. Bhuvi Renewables Private Limited
7. Vardhman Agro Products
8. Mayra Biofuel



CLIENT

You may connect with us and share your business planning.

By making call at: +91-8683898080

EMAIL us: sales@kipfinancial.com

Visit our WEBSITE: www.kipfinancial.com

By Making Visit in our Office:

KIP Financial Consultancy Pvt. Ltd

DSB – 38, KIP Complex, Red Square Market,

Hisar – 125001 (HR).

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<https://www.youtube.com/@kipfinancial>

Linkedin Page :

<https://www.linkedin.com/company/business-subsidy-consultant/>

Website : <https://kipfinancial.com/>

Disclaimer:

This e-book contains the information related to Biomass Business specifically to avail Financial Assistance from Centre Govt. as applicable presently. Such information's are helpful to Investor for taking Business Investment decision. We at KIP, are not responsible for any financial and non-financial loss for such investment. Further, KIP shall not entertain any claim with respect to availing Govt. subsidy or any other Govt. departmental approval. Further State/Centre Govt. may amend any provision of said schemes. Eligibility of subsidy shall be subject to provision of scheme and as per location prescribed in said policy. So, readers are requested to go in details for scheme before taking any decision and advised to take services of business subsidy consultant.



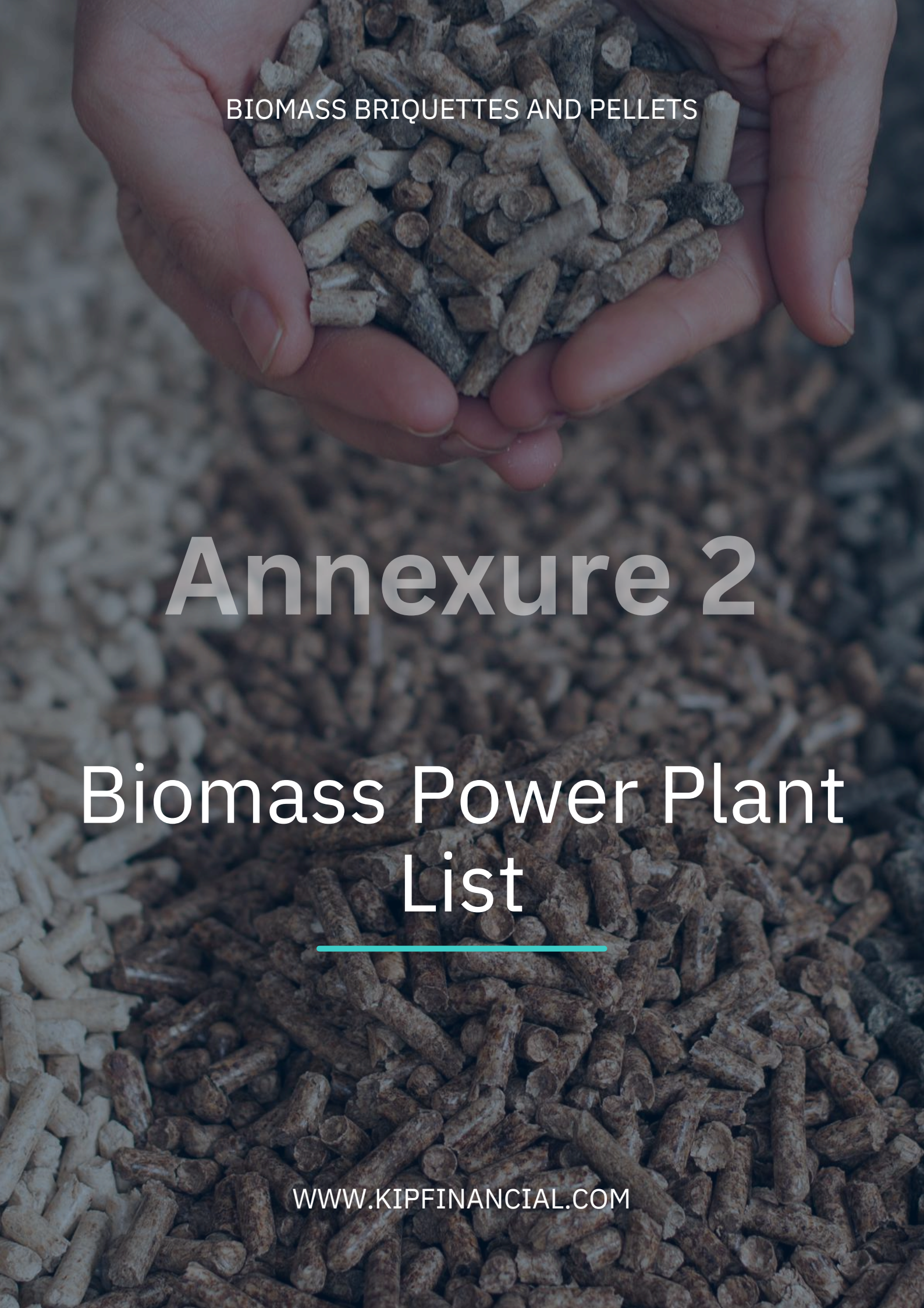
BIOMASS BRIQUETTES AND PELLETS

Annexure 1

Biomass Vendor List

WWW.KIPFINANCIAL.COM

Sr. No.	Vendor Name	Number	Address
1	Gattuwalla-Kalpesh	7304040777	Gattuwalla, MIDC Phase 3 and 4, MIDC, Akola, Maharashtra 444104
2	Infinite Energy PVT Ltd	9212084932, 9212084933	Plot No. 25/2, Opp. Peer Baba, Dabua Pali Road, Faridabad State: Haryana- 121001 Country: India
3	Lehra Fuel-tech Private Limited	8046047924	Lehra Fuel-tech Private Limited Opposite Dera Sacha Sauda, VPO Jagera, Ludhiana - 141117, Punjab, India
4	Wood Pellet	7383410723	Signature One, S. G. Highway, Makarba, Ahmedabad 380 051 (Gujarat) India
5	Ecotan India Private Limited	9914001118	Ludhiana, Punjab
6	Proveg Engineering	8046046033	Pune Maharashtra
7	GAE Briquetting Press	8238899991	Shapar Gujarat
8	Satnam Singh	9810492712	Punjab
9	Satyajeet Renewable Engineering Pvt. Ltd.	9099988080	Jamnagar, Gujarat
10	Spangle Steelproducts	7290003841	Azadpur, Delhi
11	HI TECH AGRO ENERGY PRIVATE LIMITED	8510993333	Registered Address: Plot No. 521, 2nd Floor, Sector-19, Dwarka, Near Delhi 110075, India, Factory Add: Plot No. 4 Gali no 8E, SaroorpurIndustrial Area, Faridabad 121004, Haryana
12	Ronak Engineering	8758477377	Shapar (Veraval), Rajkot, Gujarat, India Contact Person: Divyesh Bheda, GST No.: 24AAKFR1250P1ZY
13	RADHE ENGINEERING CO.	9898607770, 9227874035	D-111, Rajdoot Industrial Estate, 4-Umakant Udhyog Nagar,Near Movdi Plot, RAJKOT-360004 (Gujarat)
14	INDIAN AGRO FUEL	7340914752	M/s. INDIAN AGRO FUEL, Address: Vill. Kupkalan, The Ahmedgarh, Distt Malerkotla, 148019, Punjab, India



BIOMASS BRIQUETTES AND PELLETS

Annexure 2

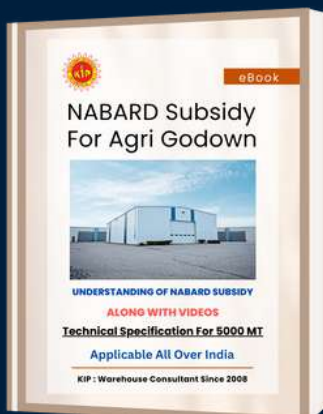
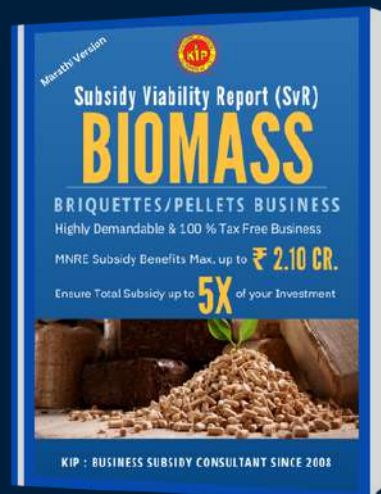
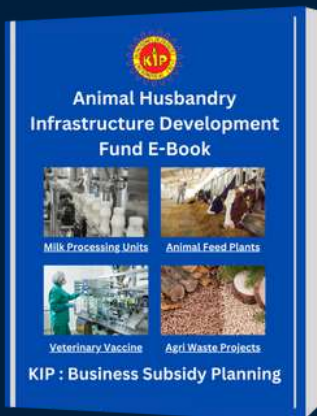
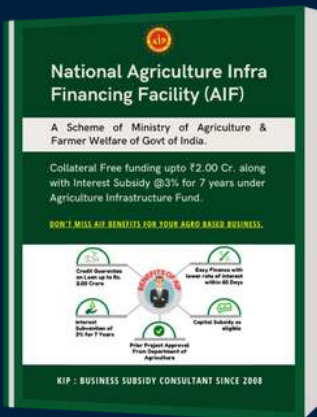
Biomass Power Plant List

WWW.KIPFINANCIAL.COM

Power Plant List

Sr. No.	State	Power Plant List (on website)
1	Telangana	CLICK HERE 
2	Tamil Nadu	CLICK HERE 
3	Rajasthan	CLICK HERE 
4	Punjab	CLICK HERE 
5	Odisha	CLICK HERE 
6	Maharashtra	CLICK HERE 
7	Madhya Pradesh	CLICK HERE 
8	Karnataka	CLICK HERE 
9	Jharkhand	CLICK HERE 
10	Haryana	CLICK HERE 
11	Gujarat	CLICK HERE 
12	Assam	CLICK HERE 
13	Chattisgarh	CLICK HERE 
14	Bihar	CLICK HERE 
15	Andhra Pradesh	CLICK HERE 

OUR OTHER E-BOOKS



KIP FINANCIAL CONSULTANCY PRIVATE LIMITED

Thank You

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